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US Economic Update: June 8, 2026

Current state of the real economy	
Current state of financial markets	
Current state of inflation	

Atlanta Fed GDP growth forecasts for Q2 2026 (%)	1-Jun-26	29-May-26	28-May-26	21-May-26	15-May-26	14-May-26
	3.0	3.1	3.8	4.3	4.3	4.0

The US economy added 172,000 jobs in May

- Total non-farm payrolls rose by 172,000 in May, slightly below the gain of 179,000 in April. Job growth, however, was concentrated in a handful of sectors. In May, payrolls rose the most in leisure and hospitality (+70,000), likely due to the upcoming soccer world cup this month. The other two sectors with strong job gains were the government (+52,000) and health care and social assistance (+47,200). Excluding these sectors, total payrolls rose by just 2,800 in May.

  A separate survey of households from the Bureau of Labor Statistics shows that employment increased slightly faster than the labor force in May. As a result, the unemployment rate was unchanged at 4.3%, while the labor force participation rate held steady at 61.8% during the period. Overall, both payrolls and employment data suggest that the labor market remains resilient, although job gains across sectors have been uneven over the past year. This, in turn, lowers the need for any near-term monetary policy easing, especially with inflation edging up since February.
- Average hourly earnings in the private sector grew 0.3% in May, slightly up from a 0.2% increase in the previous month. Compared to a year ago, earnings rose 3.4% in May. Rising inflation, however, is weighing on workers' purchasing power.
- The job opening rate in the private sector rose to 4.6% in April, the highest since November 2024. The rate was highest in professional and business services (7.1%), followed by health care and social assistance (5.8%). Rising job openings, however, haven't translated to more hiring: The hiring rate fell to 3.2% in April, its second-lowest level since April 2020. The layoff rate also fell slightly in April. These trends indicate that amid economic uncertainty, businesses remain cautious about hiring and layoffs.
- The Beige Book, a Federal Reserve report on current economic conditions, points to continued but uneven growth in the US economy, with inflation pressures and consumer strains becoming more visible. The report noted that consumer spending is mixed: Higher-income households appear resilient, but middle and low-income ones are more cautious amid declining affordability. Labor markets remain broadly stable, although hiring is selective and focused on critical roles. The report noted that price pressures have increased, primarily due to rising energy inflation.

Figure 1. Total non-farm payrolls increased by 172,000 in May and the unemployment rate remained steady at 4.3%

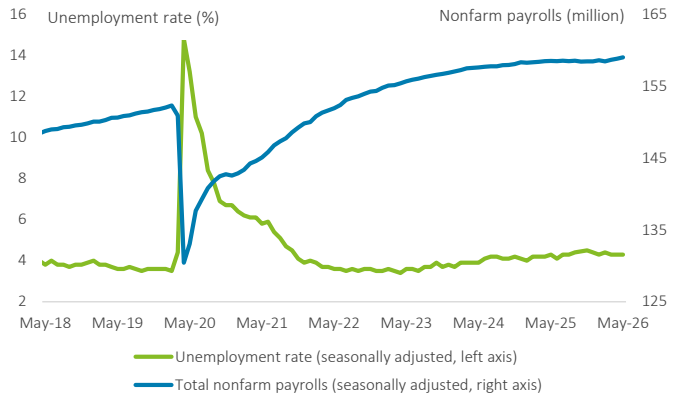
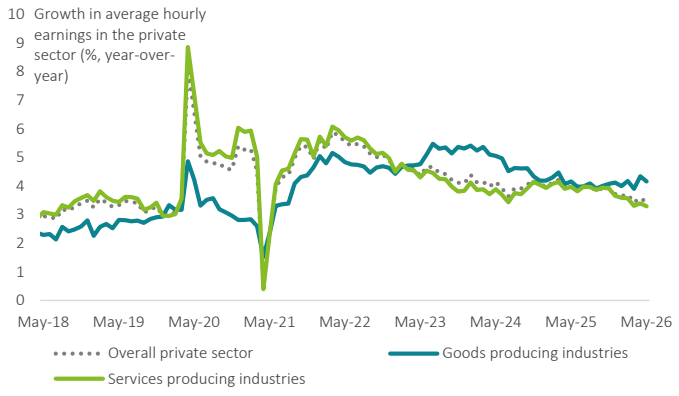


Figure 2. Average hourly earnings in the private sector were up 3.4% in May from a year ago



Sources: Haver Analytics; Deloitte analysis.

For additional information, please reach out to the US Economics team:
Akrur Barua (abarua@deloitte.com), **Ira Kalish** (ikalish@deloitte.com), **Michael Wolf** (miwolf@deloitte.com)

Dashboard of key indicators

Real economy

Total nonfarm payrolls

May change	3-month avg ch	12-month avg ch	Trend
172,000	188,000	41,000	

Unemployment rate

May value (%)	1-month ch (ppts)	3-month ch (ppts)	Trend
4.3	0.0	-0.1	

Real disposable personal income

Apr growth (%, MoM, SA)	3-month ch (%)	12-month ch (%)	Trend
-0.5	-1.1	-1.1	

Real personal consumer expenditure

Apr growth (%, MoM, SA)	3-month ch (%)	12-month ch (%)	Trend
0.1	0.7	2.1	

Nominal retail sales

Apr growth (%, MoM, SA)	3-month ch (%)	12-month ch (%)	Trend
0.5	3.1	4.9	

Conference Board consumer confidence index

May value	1-month ch	3-month ch	Trend
93.1	-0.7	2.1	

Housing permits

Apr growth (%, MoM, SA)	3-month ch (%)	12-month ch (%)	Trend
4.4	2.2	-1.5	

Manufacturing industrial production

Apr growth (%, MoM, SA)	3-month ch (%)	12-month ch (%)	Trend
0.6	1.0	1.3	

Shipments of core capital goods

Apr growth (%, MoM, SA)	3-month ch (%)	12-month ch (%)	Trend
0.4	3.1	7.7	

Trade balance

Mar value (US$ billion)	1-month ch	3-month ch	Trend
-60.3	-2.5	12.6	

Real GDP

Q1 2026 (%, QoQ, SAAR)	Q4 2025	1-year ch (%)	Trend
1.6	0.5	2.6	

Corporate profits

Q1 2026 (%, QoQ, SAAR)	Q4 2025	1-year ch (%)	Trend
3.8	26.3	12.0	

Financial markets

Equity markets

S&P 500 on Jun 5	1-week ch (%)	1-year ch (%)	Trend
7383.7	-2.6	23.1	

Treasury yield spread (10 yr - 2 yr)

Spread on Jun 5	1-month ch(ppts)	3-month ch(ppts)	Trend
0.38	-0.12	-0.2	

CBOE volatility index (VIX)

VIX on Jun 5	1-week ch	4-week ch	Trend
21.5	6.2	4.4	

Kansas City Fed financial stress index (KCFSI)

May index	1-month ch	3-month ch	Trend
-0.9	-0.2	-0.3	

Inflation

Consumer price index (CPI)

Apr change (%, MoM, SA)	3-month ch (%)	12-month ch (%)	Trend
0.6	1.8	3.8	

Core CPI (CPI excluding food and energy)

Apr change (%, MoM, SA)	3-month ch (%)	12-month ch (%)	Trend
0.4	0.8	2.8	

Core PCE (PCE price index excluding food and energy)

Apr change (%, MoM, SA)	3-month ch (%)	12-month ch (%)	Trend
0.2	0.9	3.3	

Philadelphia Fed 10-year ahead inflation expectations

Q2 2026 (%, YoY)	Q1 2026	Q2 2025	Trend
2.4	2.3	2.4	

Sources: Haver Analytics; Deloitte analysis.